

Big Change in India's Consumer Price Index

- By Ankit Agrawal

Retail inflation at 2.75% in January as India shifts to new CPI base year 2024

The data, released by the Ministry of Statistics and Programme Implementation, reflects a major statistical overhaul aimed at making India's inflation measure more representative of current consumption patterns.



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WHAT HAPPENED?

India's **retail inflation (Consumer Price Index – CPI)** for **January 2026** stood at **2.75% (year-on-year)**.

This is significant because:

- It is the **first inflation number released under the revised CPI series (Base Year: 2024 = 100)**.
- The data has been released by the **Ministry of Statistics and Programme Implementation (MoSPI)**.
- It represents a structural update in how inflation is measured in India.

Understanding Retail Inflation (CPI)

Retail inflation measures the **change in prices of goods and services consumed by households.**

It includes:

- Food
- Housing
- Fuel
- Clothing
- Education
- Health
- Transport
- Services

This CPI is the **primary inflation indicator used by the Reserve Bank of India (RBI)** for monetary policy decisions.

RBI's Inflation Target:

- Target: **4%**
- Tolerance band: **2% – 6%**

At **2.75%**, inflation is:

- Below the midpoint (4%)
- Well within the acceptable band
- Indicative of price stability

What has India changed in how CPI is measured?

New base year: 2024 instead of 2012

India has updated the **base year** for CPI to **2024**, replacing **2012**.

The base year is the reference period against which price levels are compared. Data must be updated regularly because **spending patterns change over time**.

Why this matters:

- Prices from 2012 are no longer representative of what consumers spend on today.
- A modern base reflects **today's consumption habits and prices**.
- India plans to update CPI base years regularly (every 3–5 years) to keep inflation data accurate.

$$\text{CPI} = \left(\frac{\text{Cost of Market Basket in Current Year}}{\text{Cost of Market Basket in Base Year}} \right) \times 100.$$

$$Inflation\ Rate = \frac{CPI_{current} - CPI_{previous}}{CPI_{previous}} \times 100$$

What changes have been made to the CPI basket?

A bigger and updated basket

The number of tracked items increased from **299 to 358** overall.

- **Goods**: from 259 to 308
- **Services**: from 40 to 50

This gives a more granular and realistic view of what people consume.

Food and beverages weight has been reduced

- Old CPI: food comprised ~45.86% of the basket.
- New CPI: food comprises ~36.75%.

Why this is significant:

- India's spending on food has **declined relatively** as incomes rise.
- Food prices tend to be **volatile** (sharp ups and downs).
- A lower food weight means inflation numbers become **less jumpy** and more reflective of structural economic trends rather than sudden food price shocks.

Housing gets a bigger role

Housing weight (rent + utilities):

- Previously around ~10%.
- New CPI: ~17.66%.

This includes:

Urban housing costs

Rural housing rent (newly included)

Residential utilities like electricity, gas, water

More accurate reflection of how much people actually spend on housing costs today.

Services & modern spending gain weight

Services like:

- Mobile plans
- Telecom services
- OTT subscriptions
- Eating out
- Travel and transport
- Recreation
- Personal care

All now feature more prominently in the CPI.

This reflects that **Indian household budgets are shifting toward services and discretionary spending** as incomes rise.

Removed Items:

- VCR/DVD players
- Tape recorders
- Radio sets
- CDs/DVDs
- Obsolete products

This reflects the shift from a **goods-dominated economy to a services-driven economy**.

Prices from digital markets are now included

For the first time, CPI collects price data from **online platforms** (12 digital marketplaces) to capture real prices of goods bought online.

This means inflation will better reflect:

E-commerce pricing

Digital service costs

Online discounts and pricing trends

Adoption of International Classification

India aligned with **COICOP 2018 (Classification of Individual Consumption by Purpose)** standards used globally, promoted by the **International Labour Organization** and other statistical bodies.

Instead of 6 broad groups, now inflation is classified into **12 detailed divisions**, improving international comparability.

Why did India do this base update?

There are several key reasons:

Reflect modern consumption patterns

India's economy today is very different from 2012:

- People spend relatively less on cereals and staples.
- Households spend much more on services and lifestyle goods.
- Expenditure on digital services is rising fast.

Keeping the old base year made inflation data increasingly outdated.

Better policy formulation

With an updated CPI, policymakers get:

More accurate inflation trends
Better signals for monetary policy decisions
Improved planning for social welfare programs
Clearer understanding of cost-of-living pressures

This affects interest rate decisions, fiscal planning, and economic forecasts.

Salaries, wages & allowances

Inflation data often influences:

- Wage adjustments
- Pension increases
- Government allowances

A more realistic CPI means these adjustments are fairer and closer to real price pressures.

Q. Why does CPI often show higher inflation than WPI in India?

1. CPI includes services
2. Retail prices include taxes and distribution margins
3. WPI excludes food items

A) 1 & 2 only
B) 2 & 3 only
C) 1 & 3 only
D) 1, 2 and 3



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